Muhammad Ashraf became Lashkar's chief of finance he assisted Lashkar's leadership in Saudi Arabia with 'expanding its organization and increasing its fundraising activities' during the following decade.[134]

A large portion of money came from charitable sources—legitimate and illegitimate—cultivated over the course of Lashkar's twenty-year existence.[135] For example, the group allegedly received financial assistance until 2007 from a Gulf-based charity organization which the US Treasury Department designated in 2008 as providing financial and material support to al-Qaeda and al-Qaeda affiliated organizations.[136] The group raised considerable amounts of money from private businessmen as well.[137] According to the interrogation report of Abdul Razzak Masood, an Indian who joined Lashkar in the late 1990s, this included well-known persons involved in business and the media in Dubai who donated large sums of money to support Lashkar's activities.[138] Funds often were donated to the group's above-ground wing, first MDI and then after 2002 to JuD. Until the United Nations blacklisted JuD in 2008 following the Mumbai attacks, contributing to it was perfectly legal in most countries. As is often the case when dealing with a group that has charitable and militant wings, some donors believed they were giving money to the former while others were aware that any funds donated were fungible. In addition to money donated directly to MDI or later JuD, cash was and continues to be transmitted using hawala or hundi networks, which is an alternative remittance system that operates beyond Western banking or financial channels and is therefore difficult to trace.[139] During a raid of a Lashkar operative's house in Mumbai in 2009 investigators discovered 37,000 Saudi riyals, which apparently were sent from Saudi Arabia via a hawala network.[140]

The Gulf also proved a fertile ground for recruitment. As in India, the recruitment process involved personal connections, often formed at mosques or other spiritual centers where so-called talent spotters aim to radicalize and indoctrinate potential recruits. The radicalization process is similar to that used by Lashkar in Pakistan and India. It includes showing would-be recruits footage of events such as communal rioting in India, the Babri Masjid demolition and violence in Indian-administered Kashmir. One Indian operative recruited in the Gulf described to police after his capture the speech that Hafiz Abdul Rehman Makki, Saeed's brother-in-law, gave when he visited Dubai. Makki told his audience about the need to liberate